

WHAT IS E-PAYMENT SYSTEM.....

Electronic Payment System (e-Payment) is a type of payment conducted via electronic or online mediums. Online payment systems eliminate the need for cash or cheque payments. It is a unique payment method that allows you to conduct online transactions via digital wallets, bank cards and internet banking systems.



Modes Of EPS

- ▮ Credit Card
- ▮ Debit Card
- ▮ Smart Card
- ▮ Electronic Fund Transfer (EFT)
- ▮ E-Cheque

Credit Card

- Payment using credit card is one of most common mode of electronic payment. Credit card is small plastic card with a unique number attached with an account. It has also a magnetic strip embedded in it which is used to read credit card via card readers. When a customer purchases a product via credit card, credit card issuer bank pays on behalf of the customer and customer has a certain time period after which he/she can pay the credit card bill.



Credit card payment process

Step	Description
Step 1	Bank issues and activates a credit card to customer on his/her request.
Step 2	Customer presents credit card information to merchant site or to merchant from whom he/she want to purchase a product/service.
Step 3	Merchant validates customer's identity by asking for approval from card brand company.
Step 4	Card brand company authenticates the credit card and paid the transaction by credit. Merchant keeps the sales slip.
Step 5	Merchant submits the sales slip to acquirer banks and gets the service chargers paid to him/her.
Step 6	Acquirer bank requests the card brand company to clear the credit amount and gets the payment.
Step 6	Now card brand company asks to clear amount from the issuer bank and amount gets transferred to card brand company.

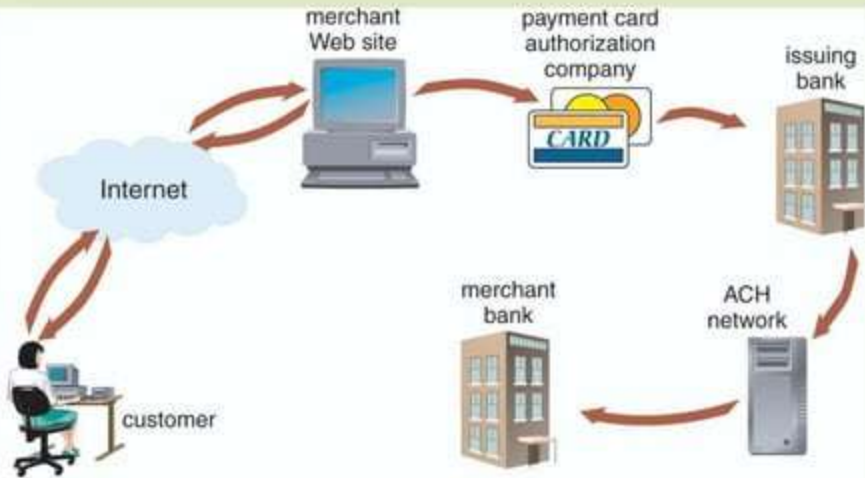


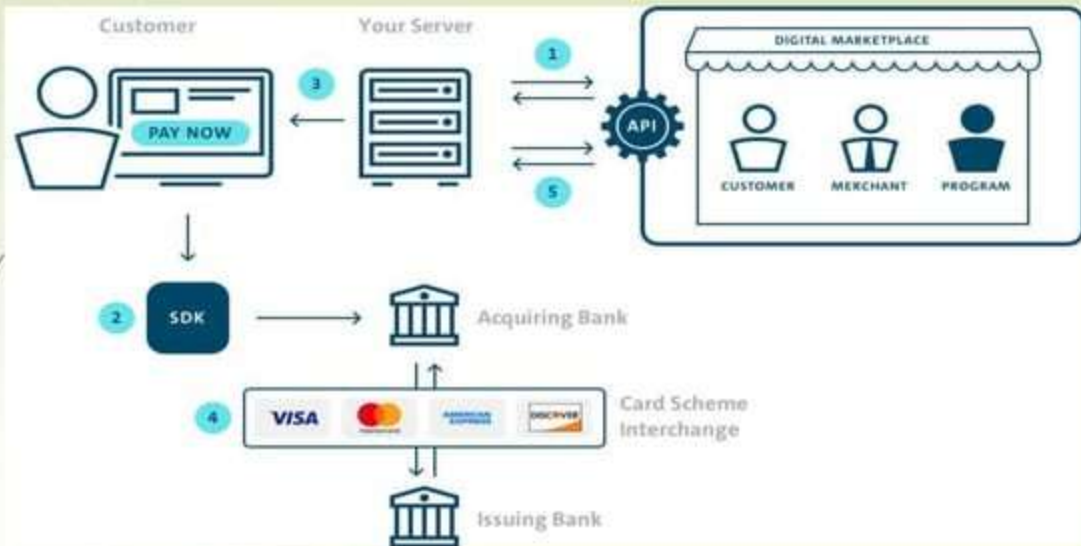
FIGURE 11-3 Processing a payment card transaction

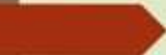
Debit Card

- Debit card, like credit card is a small plastic card with a unique number mapped with the bank account number. It is required to have a bank account before getting a debit card from the bank. The major difference between debit card and credit card is that in case of payment through debit card, amount gets deducted from card's bank account immediately and there should be sufficient balance in bank account for the transaction to get completed. Whereas in case of credit card there is no such compulsion.



DEBIT CARD PAYMENT PROCESSING :





Smart Card

- Smart card is again similar to credit card and debit card in appearance but it has a small microprocessor chip embedded in it. It has the capacity to store customer work related/personal information. Smart card is also used to store money which is reduced as per usage.
- Smart card can be accessed only using a PIN of customer. Smart cards are secure as they store information in encrypted format and are less expensive/provide faster processing. Mondex and Visa Cash cards are examples of smart cards.



SMART CARD

Electronic Fund Transfer

- It is a very popular electronic payment method to transfer money from one bank account to another bank account. Accounts can be in same bank or different bank. Fund transfer can be done using ATM (Automated Teller Machine) or using computer through bank website.



ATM

(ə-til-ee)

An electronic banking outlet that allows customers to complete basic transactions without the aid of a branch representative or teller.

E-Cheque

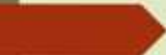
- In this system bank provide you a software through which you can create your own e-cheque and fill with amount and transfer to where you want.





ADVANTAGES OF E-PAYMENT SYSTEMS :

1. Instant Payment
2. Higher payment security
3. Better customer convenience
4. Saves processing costs
5. Low risk of theft
6. Transparent
7. Contactless



DISADVANTAGES OF E-PAYMENT SYSTEMS :

- 1.Password Threats
- 2.Limitations on Amount and Time
- 3.Risk of Being Hacked
- 4.False Identity
- 5.Additional Cost and Effort
- 6.Loss of Smart Cards



RESOURCES :

1. <https://wealthhow.com/disadvantages-of-electronic-payment-systems#:~:t>
 2. <https://customerthink.com/>
 3. <https://www.bing.com/images/>
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THANKS